

the brand is seen by customers and new investors. It was already under pressure after its largest external shareholder, Prosus, slashed its valuation to under \$3 billion—86 per cent below its peak valuation of \$22 billion last year.

“This kind of arrangement is okay for a company that is just managing cash flow issues. But if the business is not supporting, then even such short-term borrowing is not a solution, as the company will be in a similar situation in a couple of months,” says Anil

16 |

THE BCCI HAS APPROACHED THE NCLT TO INITIATE INSOLVENCY PROCEEDINGS AGAINST BYJU'S FOR FAILURE TO PAY ₹158 CRORE

Joshi, Managing Partner of Unicorn India Ventures.

“While this measure (pledging homes to raise capital) may provide momentary respite, it also amplifies concerns on the company’s long-term sustainability. A billionaire founder pledging his home to pay salaries could be seen as a sign of desperation and could potentially tarnish the company’s brand image,” ACube Ventures’ Aggarwal says.

With each tick of the clock, the window for Byju’s to navigate the cash crunch and enhance the standing of its brand is narrowing. **BT**

@binu_t_paul

BANKING

A Careful Approach

With the RBI calling for comprehensive regulations to govern connected-party lending, it wants to pre-empt any misadventure in the financial sector

BY ANAND ADHIKARI

► **THE RESERVE BANK** of India (RBI) has found that co-operative banks are regularly flouting norms related to ‘loans and advances to directors, their relatives, and firms/concerns in which they are interested’. While instances of such lending are not prevalent among commercial banks, with the entry of non-banking financial companies (NBFCs) backed by corporate giants, India’s banking regulator seems unsure if the current regulations are sufficient to prevent any future misadventure. Incidentally, the RBI has always pooh-poohed the idea of allowing corporates to run commercial banks, citing their poor track record in upholding governance standards.

The regulator’s other big worry is the proliferation of fintech firms that are getting into co-lending tie-ups with banks and NBFCs. The entry of large corporates into the NBFC space, coupled with the growing fintech universe, has the potential to create complicated layers of lending, which may make it difficult for the regulator to track connected-party lending. Responding to the emerging situation, the RBI has now called for a comprehensive framework to govern such lend-

ing, which would apply uniformly to all regulated entities of the RBI.

M. Rajeshwar Rao, Deputy Governor of RBI, explained that connected lending refers to the act of providing loans to individuals or organisations who hold the power to control or influence a lender’s decisions. Nitin Purswani, Co-founder and CEO of debt management firm Medius AI, says the new framework should mandate transparent reporting of relationships between lenders and borrowers. “It should also impose limits on the amount of credit extended to connected entities and ensure that such lending is conducted at arm’s length and on commercial terms.”

Senior bankers say, the issue of connected-party lending is vast, and any new framework could cover directors and senior management of banks, who have relationships with or an interest in the borrowers. Further, there is a possibility of lenders having informal arrangements with their groups to fund the business activities of related parties, while avoiding any direct regulatory oversight. Anil Gupta, Senior VP at credit rating agency Icra, says there could be some harmonisation of regulations. “We will also watch out